case, a supply-demand equilibrium is taking place on a global level for many commodities and the advantages of cost reduction are also available to many developing countries.

There have been numerous episodes of very sharp and big monetary expansions. In the calendar year 2020, the money supplied expanded massively in most countries. However, there was no real inflation in any advanced country. Most developing countries did not see any real inflation. Monetary expansions have tended to get leaked into wealth with demand for purchase of or investment in assets of all classes (equity, bonds, gold, real estate and the like) going up. In 2021, expansionary fiscal policies and supply disruptions led to inflation coming to the fore, which provided necessary justification to start rolling back ultra-easy monetary policies by the end of the year.

In most of the world, inflation is no longer a monetary phenomenon as Freidman wanted us to believe. Circumstances change; theories also have to change. In most countries today, monetary expansion does not cause a rise in prices of goods and services any longer. Instead, it raises wealth/assets prices.

MMT is Repackaged Keynesian Stimulus

A number of economists, most actively in the US, are arguing that governments, especially in advanced countries, can monetize as much deficit as necessary to finance full employment or serve any other public policy objective—such as investing in health for all or old-age social security—without worrying about fiscal deficits. These economists place only one caveat to this unabashed expansion of fiscal expenditures: inflation should not rise. This theory is being touted as the Modern Monetary Theory (MMT).

Most high-income countries have not witnessed inflation despite their central banks using all sorts of monetary tools, such as driving down